St Ignatius' College
Riverview

2022

HIGHER
SCHOOL
CERTIFICATE
Task 1

Business Studies

General Instructions

- Working time – 55 minutes
- Write using black pen
- Calculators approved by NESA may be used

Total marks: 40

Section I – 10 marks

- Attempt Questions 1–10
- Allow about 15 minutes for this section

Section II – 30 marks

- Attempt Questions 11–13
- Allow about 40 minutes for this section

Section I

10 marks
Attempt Questions 1–10
Allow about 15 minutes for this section

Use the multiple-choice answer sheet for Questions 1–10.

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1 A consumer receives a haircut from a barber.

This is an example of a

A. good.
B. service.
C. warranty
D. volume in demand.

2 A business has decided to increase the level of stock held in its warehouse.

Which if the following is correct for this business?

	Advantage	*Disadvantage*
A.	Can reduce warehouse costs	Can use bulk buying for inputs
B.	Can use bulk buying for inputs	Can respond to variation in demand
C.	Can respond to variety of demand	Increased insurance costs
D.	Can respond to variation in demand	Increased likelihood of obsolete stock

3 Snackfoods has purchased new peelers and slicers for a new potato chips range.

What type of resources are the peelers and slicers an example of?

A. Facilities
B. Materials
C. Information
D. Human Resources

4 A sunglasses brand has recently announced a lifetime warranty for their entire range of sunglasses.

Which of the following best describes a possible impact on operations management for this business?

A. Reduced quality of transformed inputs.

B. Improved quality of transformed inputs.

C. Reduced variety and variation in demand.

D. Improved variety and variation in demand.

5 A car manufacturer has listed all the activities to be completed and skills required in the production process.

This is an example of

A. task design.

B. process layout.

C. critical path analysis.

D. visibility (customer contact).

6 Cost leadership can be best achieved through improving

A. the quality of inputs and customisation.

B. customisation and expense minimisation.

C. economies of scale and expense minimisation.

D. economies of scale and improving the quality of inputs.

7 Which of the following is a disadvantage of outsourcing?

A. Improved company focus and increased flexibility

B. Loss of control over the costs of raw materials and CSR

C. Increased control over the costs of raw materials and flexibility

D. Reduction in quality control and loss of skills from the business

8 An operations manager is faced with increased costs as a result of smaller production runs and complexity in the type and number of inputs.

This is likely to be as a result of increased

A. volume.
B. variety.
C. visibility.
D. variation in demand.

9 The government has recently passed legislation requiring car manufacturers to reduce CO emissions on diesel cars to 0.75g/km.

Company A has announced it will immediately work to produce engines to comply with the new legislation, whilst Company B has announced it will aim to produce engines that emit just 0.40g/km.

Which of the following statements is most correct?

A. Company A and company B are both only motivated by legal compliance.
B. Company A and company B are both only motivated by ethical responsibility.
C. Company A is motivated by only ethical responsibility whilst Company B is motivated by legal compliance.
D. Company A is motivated only by legal compliance whilst Company B is motivated by ethical responsibility.

10 Which of the following is NOT an example of environmental sustainability in operations management?

A. Minimising and treating pollution and waste caused by the production process
B. Lowering energy usage in the production process to reduce adverse climate change impacts
C. Launching a media campaign promoting the environmental initiatives of the company
D. Potential recycling, treatment and sale of new products created by the waste and byproducts of production processes.

2022 HSC TASK 1

Business Studies

Section II

30 marks
Attempt Questions 11–13
Allow about 40 minutes for this section

Student Number

Answer the questions in the spaces provided. These spaces provide guidance for the expected length of response.

Question 11 (10 marks)

Functional Furniture is a domestic manufacturer of contemporary furniture with longer lead times as a result of its custom-made focus.
The business is interested in becoming more socially responsible in its operations.

(a) Distinguish between legal compliance and ethical responsibility for this business. **2**

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(b) Explain how TWO performance objectives impact operations management for this business. **4**

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Question 11 continues on the next page.

(c) With reference to a business you have studied, explain how e-commerce and global sourcing have been used to improve their supply chain management. **4**

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End of Question 11

Student Number

Section II (continued)

Question 12

Magic Mowers Pty Ltd is an Australian manufacturing business that produces lawn mowers. These lawn mowers are then supplied to retail outlets.

(a) Outline the importance of customer service for this business. **2**

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(b) How can monitoring and controlling be used to improve quality in the operations management of this business? **4**

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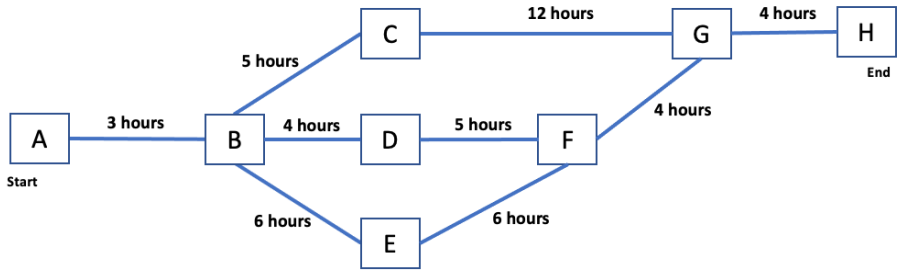
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Question 12 continues on the next page.

Magic Mowers have provided their current critical path analysis for their top selling product.



(c) Identify the duration of the current critical path for this business **1**

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(d) How could the use of a critical path analysis improve operations for this business? **3**

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End of Question 12

Student Number

Section II (continued)

Question 13 (10 marks)

Aussie T Shirts Pty Ltd is an Australian based manufacturer of clothing that has been producing these items from their Sydney factory for over 50 years.

Recently they have lost several major long term supply contracts with large retailers. The feedback from these retailers was that their products were too expensive relative to other global suppliers.

(a) Explain TWO influences on operations that are currently having a negative impact on Aussie T Shirts. **4**

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Question 13 continues on the next page.

(b) Aussie T Shirts plan to respond to these challenges by introducing technology in their production processes which management is hesitant to implement. **6**

Propose how the introduction of technology into the production process could lead to both benefits and challenges for the management at Aussie T Shirts.

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End of Question 13

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